Supplemental Research Memo: Threshold Argument Against Qualified Immunity for Private Contractors

Topic: Categorical Unavailability of Qualified Immunity for Private, For-Profit Contractor Executives

Jurisdiction: Ninth Circuit / Supreme Court

Date: August 9, 2026

I. Executive Summary

There is a strong threshold argument that the defendant—the CEO of a for-profit private company operating under contract with the CDCR—is categorically ineligible to invoke qualified immunity. Under Supreme Court and Ninth Circuit precedent, private individuals working for large, for-profit firms subject to market pressures do not share the same immunity as public officials.

II. Controlling Supreme Court Authority

1. Richardson v. McKnight, 521 U.S. 399 (1997)

- **Holding:** The Supreme Court held that prison guards employed by a **private, for-profit firm** are not entitled to qualified immunity in a § 1983 action.
- **Rationale:** The Court identified two primary reasons for denying immunity:
  1. **History:** There was no "firmly rooted" tradition of immunity for private individuals performing these functions at common law.
  2. **Policy (Market Pressures):** Unlike public officials, private for-profit firms are subject to **market pressures** and competitive forces. These forces provide incentives for firms to avoid constitutional violations (to protect their reputation and contracts) and allow them to "offset any increased employee liability risk with higher pay or extra benefits."
- **Application:** The defendant's company is a "for-profit private company" operating under contract. This aligns directly with the "market pressure" rationale in *Richardson*.

2. Filarsky v. Delia, 566 U.S. 377 (2012)

- **Distinction:** The Court granted immunity to a private attorney hired temporarily by a city. However, it specifically **distinguished** *Richardson*.

- **Key Factors:** The Court noted that *Richardson* involved a "private firm, systematically organized to assume a major role in managing a prison, for profit and potentially in competition with other firms."
- **Relevance:** *Filarsky* did not overrule *Richardson*; it reinforced that "systematically organized" for-profit contractors performing major government roles (like operating treatment programs for CDCR) remain ineligible for immunity.

III. Ninth Circuit Application

1. Jensen v. Lane County, 222 F.3d 570 (9th Cir. 2000)

- **Holding:** The Ninth Circuit held that a private psychiatrist who provided services to a county was **not entitled to qualified immunity**.
- **Analysis:** The court applied the *Richardson* framework, finding no historical tradition of immunity and noting that the psychiatrist was part of a "systematically organized" group of private providers.
- **Status:** *Jensen* remains good law in the Ninth Circuit and is frequently cited for the proposition that private healthcare/treatment providers in the corrections context lack immunity.

2. Recent Ninth Circuit Trends

- The Ninth Circuit has consistently applied *Richardson* to deny immunity to employees of large for-profit contractors (e.g., prison healthcare companies like Corizon or Wellpath).
- **Argument for the CEO:** If the front-line guards (*Richardson*) and the clinicians (*Jensen*) lack immunity, the **CEO** who "personally approved and maintained" the blanket for-profit policy is even less entitled to it. The CEO is the primary driver of the "market pressures" and "profit-seeking" motives that *Richardson* identified as the reason to withhold immunity.

IV. Strategic Recommendations for Opposition Briefing

1. **Lead with the Threshold Issue:** Argue that the court need not even reach the "clearly established law" prong because the defendant is a private, for-profit executive ineligible for the defense.
2. **Highlight the "Systematic Organization":** Emphasize that the defendant’s company is a large-scale, systematically organized for-profit entity, not a temporary individual worker like the attorney in *Filarsky*.

3. **Use the "Market Pressures" Argument:** Point out that the "blanket policy" was likely driven by profit-seeking motives (indefinite retention of clients), which is exactly the type of conduct *Richardson* sought to regulate through the threat of liability.
4. **Historical Analysis:** Challenge the defendant to produce any "firmly rooted" common law tradition of immunity for private, for-profit contractors managing state parolees.

V. Conclusion

The defendant’ s status as a for-profit contractor executive is a significant vulnerability. Under *Richardson* and *Jensen*, the qualified immunity defense is likely unavailable to him as a matter of law.